

**NATIONAL EDUCATIONAL ASSESSMENT AND EXAMINATIONS AGENCY  
(NEAEA)**

**NATIONAL EXIT EXAMINATION FOR LL.B PROGRAMME  
STUDENTS OF ETHIOPIAN LAW SCHOOLS  
2017/2018 ACADEMIC YEAR**

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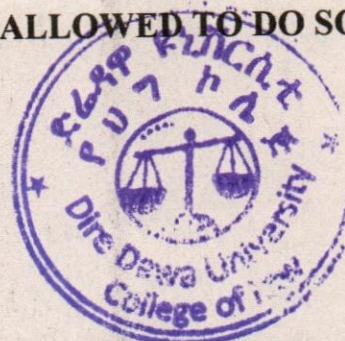
**May 08, 2018  
Time allowed: 3 Hours**

**PART I: PRIVATE LAWS**

**GENERAL DIRECTIONS**

1. ATTEMPT EACH SECTION ON THE BASIS OF SPECIFIC INSTRUCTIONS INDICATED IN EACH SECTION.
2. THIS IS A **CLOSED BOOK EXAM EXCEPT PERTINENT ETHIOPIAN LAWS.**
3. SUPPORT YOUR ARGUMENTS WITH PERTINENT LEGAL PROVISIONS WHENEVER APPROPRIATE.
4. WRITE YOUR ANSWERS IN A SEPARATE ANSWER SHEET ATTACHED TO THE EXAM.
5. YOU MAY ASSUME FACTS WHERE NECESSARY.
6. WRITE LEGIBLY.
7. SWITCH OFF YOUR MOBILE PHONE.

**DO NOT TURN THIS PAGE UNTIL YOU ARE ALLOWED TO DO SO.**



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PART I: PRIVATE MATTERS

GENERAL DIRECTIONS

1. ATTEMPT EACH SECTION ON THE BASIS OF SPECIFIC

2. DIRECTIONS INDICATED IN EACH SECTION

3. THIS IS A CLOSED BOOK EXAM EXCEPT PERTINENT

4. ETHIOPIAN LAWS

5. SUPPORT YOUR ARGUMENTS WITH PERTINENT LEGAL

6. PROVISIONS WHENEVER APPROPRIATE

7. WRITE YOUR ANSWERS IN A SEPARATE ANSWER SHEET

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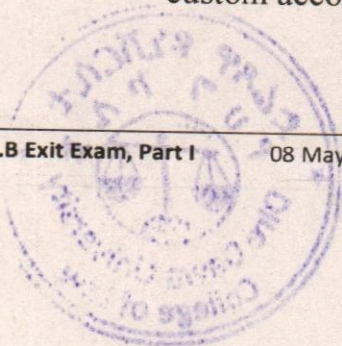
**SECTION I: CHOOSE THE BEST ANSWER (30%)**

**CHOOSE THE BEST ANSWER AND WRITE THE LETTER OF YOUR CHOICE ON THE SEPARATE ANSWER SHEET APENDED TO THIS EXAM BOOKLET**

1. One of the following validly made wills does **not** warrant judicial intervention?
  - A. A will made by a judicially interdicted person.
  - B. A will made by a legally interdicted person.
  - C. A will made under undue influence.
  - D. A will made in favor of a spouse.
  - E. A will made in favor of a witness.
  
2. When applying presumption of paternity, if a child is attributed to several fathers, and failing agreement between the potential fathers, to whom should preference be given?
  - A. The husband of the mother at the time of birth of the child.
  - B. The husband of the mother during conception of the child.
  - C. The man who was living in an irregular union with the mother at the time of birth of the child.
  - D. The man who was living in an irregular union with the mother during conception of the child.
  - E. It has to be decided by the mother of the child.
  
3. It is **impossible** for any person to make a valid adoption where:
  - A. He/she is under the age of twenty five years.
  - B. He/she is a married person and the other spouse is not adopting the child conjointly.
  - C. The father and mother of the adopted child do not consent to the adoption.
  - D. The adopted person attains majority.
  - E. He/she is single.



4. Identify the **wrong** statement.
- A. All agreements that create obligation of proprietary nature between the parties are necessarily contractual obligations.
  - B. Unlawful motive may not necessarily be a sufficient condition to invalidate a contract.
  - C. A contract may not necessarily create bilateral obligation.
  - D. A court can never depart from clear provision of the contract even where such provision is illogical.
  - E. In principle parties have a freedom of form under Ethiopian Contract Law.
5. Which one of the following may **not** be considered as the subject matter of property?
- A. The atmospheric air in its entirety.
  - B. An invention.
  - C. An original expression of idea which is fixated.
  - D. A sign which distinguishes a person's goods from that of another.
  - E. A utility model.
6. What does 'written form' mean under Ethiopian Contract Law?
- A. An offeror writes all the terms of the obligation in the written offer and the offeree sends his acceptance in registered letter.
  - B. The terms of contract are written on a paper and all parties and witnesses to the contract sign on it.
  - C. Both the offer and the acceptance are made in a registered letter.
  - D. The offer is signed by the offeror and at least one witness and likewise the acceptance is signed by the offeree and signed by at least one witness.
  - E. The terms of contract are written on a paper and all parties to the contract sign such paper in the presence of a public notary.
7. According to the revised Family Code,
- A. The husband is the head of the family.
  - B. The spouses have equal rights in the management of the family.
  - C. The breadwinner spouse shall determine the place of residence of the family.
  - D. Spouses may not agree to live in different place for more than one year.
  - E. The effect of customary marriage varies depending on the custom according to which it is celebrated.

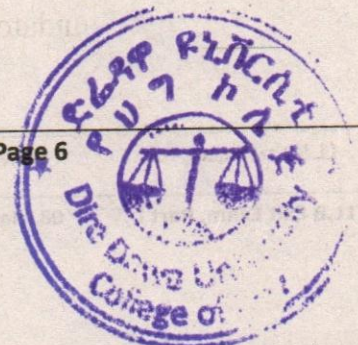


8. Which one of the following is personal property of the husband in the absence of contract of marriage?
- A. The property he inherited from his father.
  - B. His salary.
  - C. Income derived from his personal property.
  - D. A property he bought by the income he earned from renting his personal property.
  - E. A car he won from the national lottery.
9. Courts may **not** modify the terms of a contract when:
- A. The contract is between persons having special relationship.
  - B. The contract is with public administration.
  - C. There is partial impossibility to perform of the contract.
  - D. The modification relates to the time of performance.
  - E. The condition of performance has been changed.
10. A voidable contract may be validated where:
- A. Invalidation is not claimed within certain time.
  - B. Contract is performed.
  - C. The injury is calculable.
  - D. Parties fail to reach consensus on the content of remedial agreement.
  - E. The minor attains majority.
11. A contract of marriage shall be of **no** effect where:
- A. Its copy is not deposited before court or officer of civil status.
  - B. It has a provision which impose obligation on third parties.
  - C. It is made orally in the presence of four witnesses.
  - D. It is made before the conclusion of marriage.
  - E. Either of the spouses is illiterate.



12. One of the following is **true** about dissolution of a share company under Ethiopian law?
- A. Dissolution of a share company can be effected only by agreement of the shareholders.
  - B. Dissolution of a share company can be decided by an ordinary meeting of the shareholders.
  - C. When a share company is in the process of liquidation, it is primarily administered for the benefit of its creditors.
  - D. Once a share company enters a dissolution process, it automatically loses its personality.
  - E. Winding up of a share company precedes its dissolution.
13. One of the following is **correct** regarding the difference between civil matters and commercial matters?
- A. The former is more dynamic than the latter.
  - B. Practice and custom are more important in case of the former than the latter.
  - C. Joint and several liability is presumed in the case of the latter as opposed to the former.
  - D. The latter is more stable than the former.
  - E. The former needs speedier trial than the latter.
14. The Ethiopian General Contract Law provisions apply to the following obligation/s whenever necessary **EXCEPT**:
- A. Tax.
  - B. Maintenance.
  - C. Personal effect of marriage.
  - D. Contract of marriage.
  - E. Lending aid to a person in imminent and grave peril to his life or person.
15. Which one of the following is **not** true about liquidators?
- A. A testator can designate a liquidator by a will.
  - B. Heirs-at-law automatically assume the capacity of liquidators.
  - C. A court can appoint a liquidator to replace a dishonest liquidator appointed by testament.
  - D. An heir who has renounced a succession can serve as a liquidator.
  - E. A liquidator may be remunerated for the service.

16. Which one of the following type of share is easily transferable?
- A. Registered share.
  - B. Preferential share.
  - C. Bearer share.
  - D. Redeemed share.
  - E. Dividend Share.
17. Which one of the following is **true** about 'business' under Ethiopian Commercial Law?
- A. It is a corporeal element.
  - B. Immovable property forms part of it.
  - C. A substantial component of it is good will.
  - D. Trade name, trademark and industrial design are part of the corporeal element of business.
  - E. Immovable goods and equipments constitute the main part of business.
18. The agreement of both spouses is **not** required to:
- A. Sale a common immovable property.
  - B. Mortgage a personal immovable property.
  - C. Borrow money exceeding one thousand Birr.
  - D. Sale common special corporeal chattel.
  - E. Sale a common movable property worth eight hundred Birr.
19. Debts incurred to \_\_\_\_\_ shall **not** be deemed to be debts incurred in the interest of the household.
- A. Cover the medical expense of the husband.
  - B. Cover the tuition fee of the spouses' 18 years old daughter.
  - C. Fulfill the livelihood of the spouses and their children.
  - D. Fulfill an obligation of maintenance of the wife towards her son born out of wedlock.
  - E. Maintain the personal property of one of the spouses.



20. If a person bequeathed the only property he has to a Friend in his first will; but later, he made another will through which he bequeathed the same property to a Relative, who is the right beneficiary of the deceased?
- A. The State.
  - B. The Relative.
  - C. Both the Friend and Relative.
  - D. The Friend.
  - E. The deceased legal heirs.
21. The law of possession in good faith as embodied in the Civil Code applies generally to \_\_\_\_\_.
- A. A special movable.
  - B. An immovable.
  - C. A stolen thing.
  - D. Any ordinary movable sold by a person other than an owner.
  - E. Currency and securities to bearer.
22. One of the following is correct about joint venture.
- A. It is a registered business organization.
  - B. It has legal personality.
  - C. It is a secret business organization.
  - D. It must be made in writing.
  - E. It usually undergoes bankruptcy proceeding.
23. While interpreting contractual provisions, Ethiopian Contract Law mandates a judge to search for the:
- A. Subjective intention of the debtor.
  - B. Objective intention of the debtor.
  - C. Subjective intention of the creditor.
  - D. Common intention of the parties.
  - E. Policy objective of the government.

24. Which of the following statement does **not** properly describe the relationship between the FDRE Constitution and Contract?
- A. Contract is a means of acquiring property.
  - B. The constitution recognizes freedom of contract.
  - C. The power to issue Contract Law is exclusively reserved to the House of Peoples Representatives.
  - D. Contract does not apply to land resource transfer.
  - E. Government may be a party to a contract.
25. \_\_\_\_\_ is a thing that is materially integrated with another thing and cannot be detached therefrom **without** destroying such thing.
- A. An accessory
  - B. An intrinsic element
  - C. A principal
  - D. A temporary accessory
  - E. A customary link
26. One of the following is **true** about the similarities and differences between cooperatives and business organizations?
- A. Both business and cooperative organizations have an economic interest.
  - B. Both have a profit motive.
  - C. Both are governed under the same law.
  - D. Both arise out of a partnership agreement.
  - E. Both are governed under the commercial code.
27. Which one of the following is **true** about irregular union?
- A. It is a marriage not registered before the officer of civil status.
  - B. It is only proved by possession of status.
  - C. It creates similar degree of bond of affinity between the man and the relatives of the woman as does marriage.
  - D. It may not create communality of property irrespective of the agreements of the parties.
  - E. It shall be dissolved by the decision of the court.



28. One of the following is **not** a pre-requisite for establishment of a business organization under Ethiopia commercial laws?

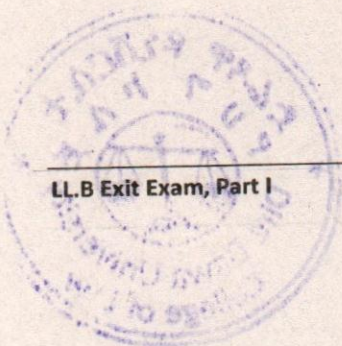
- A. Entering into partnership agreement.
- B. Plurality of parties.
- C. Mobilization of resources.
- D. **Membership to a trade Union.**
- E. Economic motive.

29. Which one of the following is **true** about forms of business organizations recognized under Ethiopian commercial law?

- A. All forms of business organizations should have legal personality.
- B. All forms of business organizations arise out of partnership agreement.
- C. All forms of business organization are commercial.
- D. A single person business organization can be established.
- E. Liability of all forms of business organization is limited.

30. Which of the following could **not** possibly deny a debtor his chance of raising defense of force majeure?

- A. Debtor's late notification to the creditor of the occurrence of force majeure.
- B. The occurrence of force majeure after the due date.
- C. The inconvenience to know the whereabouts of the creditor at the time of the occurrence of the force majeure.
- D. Creditor's failure to take measure to reduce loss due to non-performance.
- E. Debtor's failure to give notification of occurrence of force majeure because internet connection and telephone connection were not available due to emergency measures taken by the government.



## SECTION II: MATCHING (10%)

MATCH EACH ITEM UNDER COLUN 'A' WITH ITS BEST  
CORRESPONDING ITEM UNDER COLUMN 'B'

- | <u>A</u>                                               | <u>B</u>                                           |
|--------------------------------------------------------|----------------------------------------------------|
| 1. Taken by usage                                      | A Standards for managing a thing given in usufruct |
| 2. A claim over a thing against persons generally      | B Expropriation                                    |
| 3. Natural force having economic value                 | C Constitutional immunity from eviction            |
| 4. A human organ                                       | D <i>Abusus</i>                                    |
| 5. Rules of sound management                           | E Goods                                            |
| 6. Usufruct                                            | F A right which is not part of hereditary estate   |
| 7. Cost replacement approach                           | G Right <i>in rem</i>                              |
| 8. Peasants' land rights                               | H <i>Usucaption</i>                                |
| 9. Right to dispose of a thing                         | I Electricity                                      |
| 10. Anything capable of being appropriated by a person | J <i>Extra-commercium</i>                          |

## SECTION III: SHORT ANSWER (10%)

GIVE SHORT ANSWERS TO THE FOLLOWING QUESTIONS.

- 3.1. Provide reasons for classification of goods into movable and immovable. (5%)
- 3.2. Briefly explain the difference between certificate of marriage and contract of marriage. (5%)



## **SECTION IV: ESSAYS (20%)**

### **WRITE SHORT ESSAYS FOR THE FOLLOWING QUESTIONS**

4.1. Some people argue that 'our Commercial Code which was promulgated in 1960 is outdated in many respects and needs to be updated,' while others argue that 'our existing realities are more outdated than our commercial code and we need to work hard to cope up with it'. Discuss the validity or otherwise of each of the above arguments in light of Ethiopian company law. (10%)

4.2. What do you think is the reason for the lapse of legacies made in favor of a spouse of the testator where the marriage of the testator with that spouse is dissolved through divorce? (10%)

## **SECTION V: HYPOTHETICAL CASES (30%)**

### **5.1. HYPOTHETICAL CASE I (17%)**

On a certain day while visiting local forest lands, Ato Shumi, the general manager of Jember Lumber & Furniture PLC met Ato Sahilemariam, who was visiting his own eucalyptus forest land. Ato Shumi was impressed by Ato Sahilemariam's forest land and hinted his interest to buy the eucalyptus tree grown on one hectare of land. A week after, on July 20, 2017, Ato Sahilemariam wrote an email letter to Ato Shumi offering to sell eucalyptus tree grown on one hectare of land for Birr 500,000 (five hundred thousand). The email letter further states that the date of payment is within fifteen days from the date of acceptance, and penalty for non-performance or delay in performance by either party shall be Birr 100,000 and acceptance has to be communicated to the seller in a registered letter.

On July 21, 2017 Ato Shumi, on behalf and by the name of Jember Lumber & Furniture PLC, wrote back an email letter stating that the company has accepted the

offer and further affirming that date of performance has to be within fifteen days of acceptance also sending birr 100,000 (one hundred thousand) to Ato Sahilemariam. Ato Sahilemariam collected the money from a nearby bank on July 25, 2017.

On August 26, 2017 Ato Shumi emailed to Ato Sahilemariam that Ato Lalemo, a carpenter, takes delivery of the eucalyptus tree and also pay the remaining balance. On August 31, 2017 Ato Lalemo appeared to take delivery and to pay the remaining balance. Although Ato Sahilemariam delivered the tree, he refused to take the remaining balance from Ato Lalemo and has taken the case to court claiming damage alleging that there was delay in performance and also payment has to be made by Jember Lumber & Furniture PLC.

Based on the above hypothetical case, analyze whether or not there is non-performance that necessitates claim of damage and if so how much damage should be paid? (17%)

## **5.2. HYPOTHETICAL CASE II (13%)**

Ato Degu is a famous business person in Dessie and owns a number of movable and immovable properties including 2 Sino trucks mainly used for carriage purposes. It was on the 21<sup>st</sup> of July, 2017 that his economically poor neighbor called Ato Sintayehu asked him to provide him a free ride to Addis Ababa by one of his Sino trucks. Ato Degu didn't think twice and immediately agreed to Ato Sintayehu's request. Then, he immediately ordered his driver Ato Melkamu to drive Ato Sintayehu to Addis for free.

However, on their way to Addis, Ato Degu's Sino truck (Code 3-AM-10963) overturned around Tarmaber because of the heavy rain and the foggy weather. Despite the effort of the driver (Ato Melkamu) to prevent the accident, Ato



Sinatayehu and Ato Melkamu sustained serious physical injury following that horrible accident. Few months after the accident, Ato Sintayehu initiated a legal action against Ato Degu and his driver (Ato Melkamu) to obtain compensation for the injury he sustained and the resulting costs incurred for his recovery.

- 5.2.1. Assuming that you were approached by Ato Degu and Ato Melkamu (the defendants), what would be your legal advice? (6.5%)
- 5.2.2. Assuming yourself as a judge, what would be your decision had the cause of the accident been the negligent deriving of Ato Melkamu (the driver)? (6.5%)